

5 PERCENT the annual rise in oil usage in the early 1970s.

98 PERCENT the drop in oil imports to the US from OAEPC.

400 PERCENT the rise in the price of oil from 1973 to 1974.

industrial output slowed dramatically, inflation spiraled, and the world slipped into economic recession. It became all too clear that the economic boom experienced by Western nations in the postwar years had been entirely dependent on their ability to dictate low fixed-rate prices to the oil-supplying nations.

Energy crisis

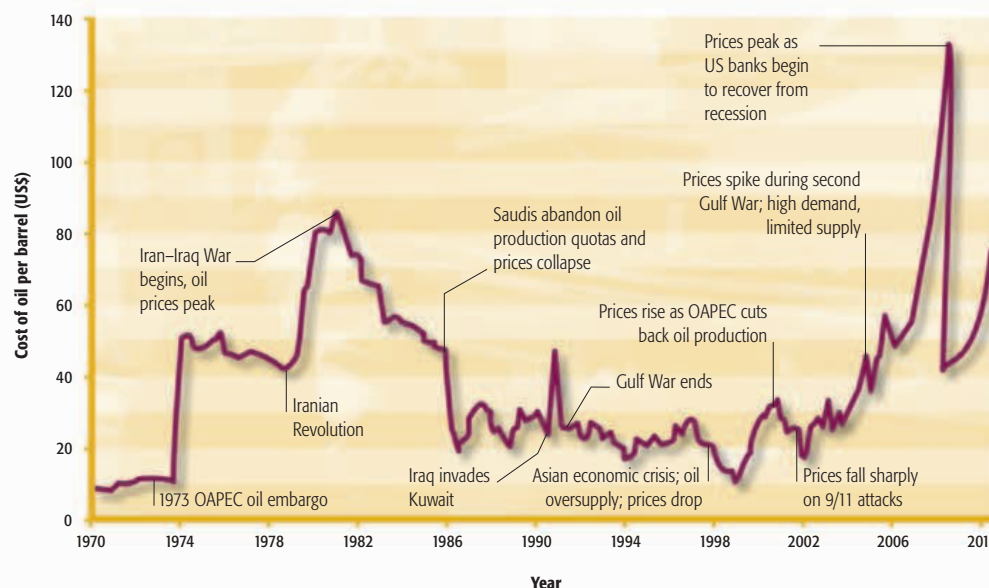
When the embargo hit the US, inflation rose to over 10 percent, interest rates rocketed, and an enormous trade deficit developed. Schools and businesses adopted policies of regular closures to save on heating oil, while homeowners were called on to turn down their heating thermostats. Unemployment rates, a growing issue since the start of the 1970s, continued to rise as industries were forced to lay off workers. The price of gas for domestic consumption quadrupled during the embargo period, and up to 20 percent of US gas stations were without fuel during the crisis.

In an economy where 85 percent of the workforce drove to their place of work, people began to line up for hours at a time to refuel their cars. At President Nixon's request, gas was rationed to a maximum of 10 gallons per customer.

Price rises in crude oil had a huge impact in Europe, especially in the UK, which imported over 80 percent of its oil from the Middle East.

Before the crisis struck, Edward Heath's Conservative government was already struggling with rising inflation and trade union unrest. In May 1973, 1.6 million workers went on strike to protest against the introduction of pay restraints. As the year progressed, relations between workers and government steadily worsened.

In November 1973, a ban on overtime by electricity and coal workers exacerbated the British fuel shortage.



Heath's government was forced to announce a state of emergency, limiting industrial and commercial users of electricity to a total of 5 days fuel supply every two weeks. When coal miners went on all-out strike in early 1974, the government introduced a compulsory three-day week to save on both energy consumption and the wage bill. The crisis ended with a settlement for the National Union of Mine Workers, which cost the country over \$250 million and increased the

limits to 50 mph (80 km/h), which reduced oil consumption. In the US, the consumption of oil dropped by 20 percent, as the public made efforts to conserve both oil and money by switching to more affordable forms of energy, such as coal, or solar and wind power. The US also extended Daylight Saving Time and, like Germany, developed a policy of "car-free" Sundays. In Britain, the public became used to living and working by candlelight during a long winter of phased energy-conserving power cuts. Other restrictions included ending television broadcasts by 10:30 pm, turning off streetlights at midnight, and canceling soccer matches played under floodlights. Civic Christmas lights were allowed to remain switched on by special government dispensation.

OAEPC's embargo inflicted serious damage on the global economy and left the leaders of many of the industrialized nations determined to reduce their reliance on Middle Eastern oil. Many began to fund research into alternative energy sources such as wind, tidal, and solar energy. In the US, President Nixon approved the building of a Trans-Alaskan oil pipeline, designed to supply 2,000,000 barrels of

oil a day to the American market. Big automobile manufacturers began to consider smaller, more economic alternatives to the large "gas-guzzling" cars of the 1950s and 1960s. Japan, in particular, pursued reforms in its energy policy to avoid a similar future crisis, developing its nuclear energy capacity and pioneering some of the world's most successful energy-efficient

The politics of oil

This graph shows the rise and fall in oil production prices from 1970 and its relationship to specific events. As supplies of oil dwindled in other parts of the world, the value of oil reserves in the Middle East increased. Since oil underpins industrial and domestic energy production, any political instability in the region has repercussions elsewhere. Increased demand in fast-developing Asian economies has also pushed up the price of oil and other commodities.

cars. Unlike other industrialized nations, Japan revived quickly after the crisis. This turnaround in economic fortune is generally credited to the Japanese government's investing in such industries as electronics (see pp.456–57) that are not dependent on oil.

AFTER

Since 1973, the US has pursued policies to protect itself from a repeat of the oil crisis.

MIDDLE EAST PEACE PROCESS

The oil embargo radically changed the OAEPC nations' **power and standing in world politics**. Western nations were forced to give Arab objections to the existence of Israel a fair hearing. From his inauguration in 1977, US president Jimmy Carter pursued a **peaceful resolution to Arab-Israeli conflict**. In March 1979, the signing of a bilateral peace treaty between Israel and Egypt was a first step along this difficult diplomatic road << 415.

US ENERGY POLICY

The National Energy Act of 1978 continued to exercise controls over industrial energy use, promoting greater use of renewable energy and introducing higher tax rates for fuel-inefficient vehicles. This led to the

development of efficient hybrid cars that can run partly on electric motors.

HYBRID CAR



THE US IN THE MIDDLE EAST

US intervention in the Middle East was not confined to peacemaking. In the 1980s the US worked hard to gain interests in the oil reserves by supporting regimes such as that of Saddam Hussein against Iran 468–69 >>. The instability in Iraq after the 2003 invasion led to questions about America's long-term influence over the region's oil.



Coping with a "car-free" Sunday

During the oil crisis, an enterprising German hotel owner (above) circumvents the nationwide vehicle ban on Sundays by reverting to horse power. "The Big Freeze" is the cover story of the December 3, 1973 issue of *Time* magazine (right). Three months into the oil crisis, the article suggests it will be a cold holiday season for Americans.



national wage bill by 30 percent. With full-time coal production reestablished, Britain returned to a 5-day working week in March 1974, but restrictions on the use of electricity were retained for several months.

Coping with the crisis

A range of conservation measures were introduced by governments to cope with the oil crisis. Many lowered speed